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“We are bracing for a possible 20% decline from the highs in the mid-cap index, suggesting a period of adjustment... large-caps present a more stable investment avenue”



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“Our multi-bagger approach is a combination of value, growth and contrarian. We focus on sectors that are currently being ignored by the rest of the market players”

74 | the Top 10 PMS schemes by returns in the past one year, according to PMS Bazaar. “Most of our picks have done well in terms of business performance. In the Dividend Yield strategy, we have showcased an outperformance of more than 200% versus the benchmark as a result of careful stock-picking, patience, and careful exits. Whichever the fund, we follow a solid fundamental-based approach,” says Divam Sharma, CEO & Co-founder of Green Portfolio, adding that only one out of the 10 stocks his firm analyses makes it to the next stage of scrutiny. “More than picking the right stocks, it has been about rejecting the feeble ones,” he says, adding that he prefers firms with a debt-to-equity ratio below 1x and those that have operating margins of 15%-plus.

Vikas Khemani, Founder of Carnelian Asset Advisors, agrees that it is about picking the right stocks. He reveals that for YnG Strategy, his firm focusses on bottom-up stock picking. “These are all high-quality companies with a good dividend yield and decent growth. The stocks we bought in the past one year turned out to be in our favour,” he says. Khemani, who manages ₹5,500 crore of assets, is positive on sectors such as banking, manufacturing, pharmaceuticals and automobiles.

PICKING IT RIGHT

Most fund managers agree that choosing the right stocks is the key to handsome returns. Besides the Top

10 alpha generators, Equitree Capital Advisors’ Emerging Opportunities, Aequitas Investment Consultancy’s India Opportunity Product, Shepherd’s Hill Financial Advisors LLP’s Value Magno, Ambit Global Private Client’s Alpha Growth and Bonanza Portfolio’s Edge PMS schemes have also given returns of 90-94% in the past one year. In fact, with annualised returns of 36.36%, Aequitas Investment’s India Opportunity Product has been the top wealth creator in the past 10 years.

“Our multi-bagger approach is a combination of value, growth and contrarian. We focus on sectors that are currently being ignored by the rest of the market players,” says Aequitas MD & CIO Siddhartha Bhaiya. He adds that it picks stocks after analysing fundamental aspects such as the total addressable market, growth potential, profitability, dividend track record, quality of management, major capital allocation decision and change in promoter ownership as well as a detailed deep dive into valuations to ensure they have an optimal margin of safety, which ensures capital protection.

On its Edge PMS strategy, Bonanza’s Goel says the multi-cap strategy gives them the flexibility to shift within different market caps depending upon volatility and opportunity. “This strategy primarily focusses on the near-term opportunity presented by the business. It’s mostly a tactical portfolio and driven by the opportunity expected to crystallise in the near future. We look for a strong driver that has the capability to increase the